

2. **Robbery of the trust property.**—A trustee in an old case, had kept in his house 40*l.* of trust money, and 200*l.* belonging to himself, and was robbed of both by his servant, and was held not to be responsible (*f*). An administratrix had left goods with her solicitor to be delivered to the party entitled. The articles were stolen; and the Court said it was the same as if they had been in the custody of the administratrix, and it was too hard to charge her with the loss (*g*). Lord Romilly, however, in a recent case, made a distinction between a loss arising from a *criminal act* [*295] done by a *stranger*, and a *criminal act* done by *an *agent* appointed by the trustee himself, and held that in the latter case, but aggravated by circumstances of carelessness, and where both parties were innocent, the trustee was liable (*a*).

3. **Chattels passing by delivery.**—Where there are several trustees, as they cannot all have the custody of the property,

(*f*) *Morley v. Morley*, *ubi supra*; (g) *Jones v. Lewis*, 2 Ves. 240.
and see *Jones v. Lewis*, 2 Ves. 241; (a) *Bostock v. Floyer*, 1 L. R. Eq.
Ex parte Belchier, Amb. 220; *Ex* 28; 35 Beav. 603; [and see *Re Brier*,
parte Griffin, 2 Gl. & J. 114. But see 26 Ch. D. 238.]
Sutton v. Wilders, 12 L. R. Eq. 377.

not invested as wisely as it should have been, if the trustee had made the investment; *Pray's App.* 34 Pa. St. 100; *Hemphill's App.* 18 Pa. St. 303; and if necessary follow up his demand with suit; *Wolfe v. Washburn*, 6 Cow. 261. A trustee should not compromise a claim unless he can show the impossibility of getting more; *Bacot v. Heyward*, 5 S. C. 441.

If a trustee personally owes the trust estate, he must consider his debt as assets received, and if he should not prove the claim against himself if bankrupt, he would continue liable even after his discharge; *Pettee v. Peppard*, 120 Mass. 523; *Hazleton v. Valentine*, 113 Mass. 472; *Chenery v. Davis*, 16 Gray, 89; *Prindle v. Holcomb*, 45 Conn. 111; and acceptance of a trust makes the trustee's previous indebtedness stand as collected assets; *Ipswich Co. v. Story*, 5 Met. 301; *Stevens v. Gaylord*, 11 Mass. 269.

The trustee must use the same caution and judgment in the case of the trust property that he would if the property were his own; *Carpenter v. Carpenter*, 12 R. I. 544; *Taylor v. Benham*, 5 How. 233; *Campbell v. Miller*, 38 Ga. 304; *Gould v. Chappell*, 42 Md. 466; *King v. Talbot*, 50 Barb. 453.

If the trustee deposit the trust funds in his own name, he will be liable for any loss that results by consequence of the failure of the bank; *School Dist. Greenfield v. First National Bank*, 102 Mass. 174; *Mason v. Whitthorne*, 2 Cold. 242.

If the trustee mix the trust funds with his own the *cestui que trust* may claim all that the trustee cannot positively identify; *Morrison v. Kinstra*, 55 Miss. 71.